

As Graham notes, “dollar-cost averaging” enables you to put a fixed amount of money into an investment at regular intervals. Every week, month, or calendar quarter, you buy more—whether the markets have gone (or are about to go) up, down, or sideways. Any major mutual fund company or brokerage firm can automatically and safely transfer the money electronically for you, so you never have to write a check or feel the conscious pang of payment. It’s all out of sight, out of mind.

The ideal way to dollar-cost average is into a portfolio of index funds, which own every stock or bond worth having. That way, you renounce not only the guessing game of where the market is going but which sectors of the market—and which particular stocks or bonds within them—will do the best.

Let’s say you can spare \$500 a month. By owning and dollar-cost averaging into just three index funds—\$300 into one that holds the total U.S. stock market, \$100 into one that holds foreign stocks, and \$100 into one that holds U.S. bonds—you can ensure that you own almost every investment on the planet that’s worth owning.⁷ Every month, like clockwork, you buy more. If the market has dropped, your preset amount goes further, buying you more shares than the month before. If the market has gone up, then your money buys you fewer shares. By putting your portfolio on permanent autopilot this way, you prevent yourself from either flinging money at the market just when it seems most alluring (and is actually most dangerous) or refusing to buy more after a market crash has made investments truly cheaper (but seemingly more “risky”).

According to Ibbotson Associates, the leading financial research firm, if you had invested \$12,000 in the Standard & Poor’s 500-stock index at the beginning of September 1929, 10 years later you would have had only \$7,223 left. But if you had started with a paltry \$100 and simply invested another \$100 every single month, then by August 1939, your money would have grown to \$15,571! *That’s* the power of disciplined buying—even in the face of the Great Depression and the worst bear market of all time.⁸

Figure 5-1 shows the magic of dollar-cost averaging in a more recent bear market.

Best of all, once you build a permanent autopilot portfolio with index funds as its heart and core, you’ll be able to answer every market question with the most powerful response a defensive investor could ever have: “I don’t know and I don’t care.” If someone asks whether bonds will outper-